TENCENT MUSIC ENTERTAINMENT

Tencent Music Entertainment Group
2025 Fourth Quarter and Full Year Earnings Conference Call

Millicent T.:

Good evening, good morning, and welcome to Tencent Music Entertainment Group's Fourth Quarter and Full Year 2025 Earnings Conference Call. I'm Millicent Tu, Head of IR. We announced our quarterly financial results earlier today before the US market opened. The earnings release is now available on our IR website and via Newswire services.

During today's call, you'll hear from Mr. Cussion Pang, our Executive Chairman, and Mr. Ross Liang, our CEO, who will share an overview of our company's strategies and business updates. Then Ms. Shirley Hu, our CFO, will discuss our financial results before we open the call for questions.

Before we continue, I refer you to the Safe Harbor statement in our earnings release, which applies to this call as we'll make forward-looking statements. Please note that we will discuss non-IFRS measures today, which are more thoroughly explained and reconciled to the most comparable measures, reported under IFRS in our earnings release and filings with the SEC.

All participants are muted at this time. After management's remarks, there will be a Q&A session. And please be advised that today's call is being recorded

With that, I'm pleased to turn the call over to Cussion, Executive Chairman of TME. Cussion?

Cussion:

Thank you, Millicent. Hello everyone and thank you for joining our call today.

In 2025, we remained disciplined in executing our dual engine content-and-platform strategy, delivering accelerated revenue growth and sustained margin expansion. Our differentiated, all-in-one music services platform has fueled solid subscription growth and strong momentum across our non-subscription offerings. This enables us to unlock greater value from music IPs, create new opportunities for artists, and address a larger market. As the competitive landscape continues to evolve, our proven ability to deliver integrated, expansive and multi-faceted services gives us a distinct competitive advantage. With disciplined investment and continued innovation focused on long-term value creation, we are confident in leading the industry advancement.

Our competitive edge first and foremost stems from our industry-leading music copyright portfolio. Building on our high-quality IP assets, we have expanded a comprehensive suite of music services to create holistic value for music creators and contribute to the long-term growth of music industry. Leveraging our deep insights into the industry, we have amplified our content strength and addressed the evolving listening preferences of our users.

1) First, our timeless and classic music catalog fosters deep emotional connections and serves as a cornerstone of our subscription business. This is why music can be so long-lasting and enduring in terms of monetization. Pushing forward from a position of strength, we recently renewed contracts with Warner Music Group and Bin-music, exploring new avenues for physical albums, merchandise, and live performances. We also deepened alliance with Media Asia Music, introducing Dolby Atmos to over 300 iconic tracks by legendary artists including Eason Chan (陈奕迅), Leslie Cheung (张国荣) and Andy Lau (刘德华), for the first time, elevating the value of our classics with a more immersive listening experience.

2) Second, we continue to deepen differentiation through our proprietary content. The streaming share of our self-produced content keeps growing as listeners seek unique high-quality genres and musical experiences. For example, our Mid-Autumn-themed hit *Year After Year (岁岁年年)*, performed by Xiao Zhan (肖战), charted in 17 countries and regions and generated over 100 million social media views in a single day. Furthermore, our capability to craft hit OSTs continues to strengthen. In the fourth quarter, we produced a bespoke 14-track OST suite for Tencent Video's hit drama *Shine on Me* (骄阳似我), which topped multiple music charts during the drama's broadcast. In addition, several of our co-produced songs were featured on the 2026 CMG Spring Festival Gala, which then quickly went viral, with multiple tracks surpassing 10 million streams in just a few days.

3) Third, we continued to gain share among younger users, thanks to our coverage of genres that resonate well with this user cohort. K-pop, for instance, is capturing an increasing share of streams. Our recently renewed partnership with P NATION CORPORATION secured a 30-day head-start benefit to new releases from top Korean artists and groups such as PSY, CRUSH, HWASA, Baby DONT Cry and TNX, keeping users at the forefront of global trends. Our thriving Tencent Musician Platform, an established avenue for indie and up-and-coming artists, is also vital to meeting the growing appetite of young audiences for diverse music styles. This quarter, we partnered with the indie band Fine, a music group with over a million followers. Their tracks, including the viral hit *Breathing Decision* (呼吸决定), sparked enthusiastic community interaction among young users.

Years of dedicated effort and our distinctive competitive edge within the content and platform ecosystem have enabled us to accelerate the comprehensive expansion of our music services. We believe this is quite unique to TME, enabling us to continue leading music consumption along the entire music industry chain. Beyond music subscription, we see tremendous potential in other music related value-added services. We aim to grow and expand our total addressable market sustainably, guided by our deeply rooted and strong conviction in serving, protecting, and unlocking the full value of music IPs.

1) Building on our momentum, we continued to push boundaries by hosting more high-quality live experiences that empower artists in expanding their audience reach. First, let me begin by highlighting that in 2025, we showcased our production capabilities with multiple flagship events, including G-DRAGON's (权志龙) world tour. The 20-concert tour across eight cities in

Asia Pacific attracted over 260,000 fans. This highly sought after tour featured two landmark shows at the Taipei Dome in the fourth quarter, drawing over 75,000 fans - the largest-scale event we have hosted for him. This unprecedented success proved our ability to execute complex, high-profile tours and laid a solid foundation for future collaborations with top-tier international artists.

2) Secondly, through continuous investment across the music value chain, we have built a diverse and robust lineup of strategic artists. We collaborate with them across music promotion, live performances, artist management, and merchandise, and these investments have begun to bear fruit, contributing to strong growth in our non-subscription revenue in 2025. Our strategic artists portfolio includes HaiLaiAMu (海来阿木), Will Pan (潘玮柏), Fiona Sit (薛凯琪), Silence Wang (汪苏泷), Kenji Wu (吴克群), Tia Ray (袁娅维), Jane Zhang (张靓颖), Angela Zhang (张韶涵), Zhang Yuan (张远), and GAI (周延). Through these efforts, we offer fans a richer array of music consumption and well-rounded entertainment experiences, while transforming music and artists into influential IPs, further extending their value and impact.

3) Beyond live events, we continue to introduce innovative merchandise formats to spark new waves of fan-based consumption. A prime example was the KIT album for Ed Sheeran's latest release, Play, marking our first partnership with a top-tier Western artist using this hybrid, physical-digital format. We also enhanced Esther Yu (虞书欣)'s physical album, Spicy Honey, with a suite of collectible elements, boosting fan engagement. In addition, we made a breakthrough in expanding artist merchandise with new tour-themed collectibles, which are highly valued by fans as tangible extensions of the live concert experience and emotional connection with their favorite artists. Our exclusive-edition Lay Zhang's (张艺兴) "GRANDLINE·BOUNDLESS" Tour Special Commemorative Gift Box and the special release of Lu Han's (鹿晗) 2025 LUHAN SEASON4 ASIA TOUR Commemorative Album, integrated with SVIP privileges, both achieved strong sales across the board. I am pleased to say that we more than doubled revenues of IP related merchandise and fan-based consumption as we exited 2025.

As advertising and other IP related offerings scale, and as we offer multi-tiered membership for online music subscriptions, the business impact of each paid membership varies. Given the significant evolution of our business model in recent years, our focus has moved beyond the number of paid subscribers and ARPPU, the operating metrics for our online music services adopted at our listing. Instead, we are increasingly focused on revenue and profit as our primary performance indicators. Reflecting this shift, starting from next quarter, we will discontinue the disclosure of certain operating metrics on a quarterly basis. Going forward, we will report annually the number of total paying users across our music services, as of year-end.

Last but not least, with social responsibility embedded in our core strategy, we continued to improve accessibility and inclusive design, making our products more user-friendly. For example, QQ Music introduced a Hearing Protection Mode for children, leveraging AI and user insights to reduce sharp and sensitive sounds for a safer and more comfortable listening experience. Meanwhile, WeSing

upgraded its large-font mode to better serve more users, with adoption exceeding 50%.

To wrap up, our thriving dual-engine ecosystem, anchored by content advantage, comprehensive service offerings, and innovation excellence, enables us to effectively serve a diverse range of music creators and fans while unlocking IP value and enhancing monetization efficiency. Looking ahead, we will continue to reinforce our core strengths and broaden our reach to capture the significant growth opportunities before us.

Now I would like to hand the call over to Ross for a deeper dive into our overall platform development. Ross, please go ahead. Thank you.

Ross:

Thank you, Cussion. Hello, everyone.

In an era of rapid technological advancement and evolving consumer expectations, apart from what Cussion just discussed, we stayed nimble, acting proactively across the board to serve our users better and keep the flywheel of our content platform rolling. With our deep commitment to user value, we have built a comprehensive, multi-pronged membership system designed to drive effective subscriber conversion, stronger engagement, and a deeper share of wallets. We continue to lead music consumption trends through ongoing technological and product innovation, inspiring users to explore a broader range of music genres and discover artists. Driven by differentiated, expansive content privileges as well as immersive experiences, we ended 2025 with over 20 million SVIP users, with ARPPU trending steadily upward. Our new ad-supported subscription plan is also gaining initial traction. Over time, it will allow us to broaden user access and attract new audiences to our platform.

We continue to innovate product matrix to deliver highly differentiated offerings that make music consumption seamless and accessible anytime, anywhere.

1) First, we further deepened and integrated our presence across multiple devices. While mobile apps remain our core access point, we have also penetrated further into PC, in-car, smart speaker, and wearable ecosystems. This makes music consumption an integral part of users' daily lives, whether they are commuting, at home, or at work.

2) Second, our multi-platform portfolio enables us to cater to a wide range of user habits and preferences. While Kugou Music and QQ Music offer comprehensive premium services to highly engaged users with a strong willingness to pay, lite versions such as Bodian Music and Kugou Concept, serve casual listeners effectively.

3) Third, we are integrating social features to amplify user reach and boost user acquisition, conversion, and engagement. In Q4, QQ Music introduced *Weverse DM*, onboarding 170 artists from HYBE and other labels to broaden artist-fan interaction channels. *bubble* upgraded its functionality with an intelligent song recognition feature that automatically

detects song titles, screenshots, or links shared by artists and enables one-tap playback. Together with the launch of live streaming for domestic artists, these enhancements drove higher user time spent and retention. It's also worthwhile to mention that this year's Annual Music report campaign added handwritten letters and AI-generated voice messages from artists, further strengthening user engagement and encouraging widespread sharing.

As our expanding use cases resulted in broader audience reach, we remain focused on harnessing AI to empower music creation and elevate user experiences. From music creation and production to distribution and consumption, we are making music consumption more fun and personalized.

1) First, our AI tools are enriching content supply. Today, over 10 million users and more than 150,000 professional creators use our one-stop AI music production platform. Features such as track refinement and AI-generated vocal demos accelerate music creation. In addition, AI auto-capture chorus highlights and generates video clips based on lyrics, delivering more engaging audio-video experiences through Quick Listen mode.

2) Second, we are deepening cooperation across the broader Tencent ecosystem to enhance content distribution and consumption. We enhanced our self-developed multimodal large model, driving our recommendation-driven stream share to a record high. We also deepened collaboration with Wexin Video Accounts by co-creating trending music charts and adding BGM music links in the comment section for the joint promotion of hit songs. Meanwhile, Yuanbao has also been embedded into QQ Music. This has not only boosted user engagement but also provided deeper insights into user preferences and needs, thereby improving distribution efficiency.

3) Third, we have integrated AI across the end-to-end music consumption journey. Powered by Yuanbao, QQ Music's AI Agent has evolved into a system-level hub, allowing users to handle complex, multi-step tasks using natural-language commands. For example, beyond music discovery, the AI agent provides direct access to digital albums and merchandise purchase, creating a seamless "intent-to-action" experience that drives conversion.

Last but not least, we continued to scale and differentiate our SVIP membership, capturing new audience segments and leveraging our uniquely comprehensive ecosystem to deepen music consumption and unlock substantial monetization opportunities, particularly through our growing fan-based economy.

1) As we consistently deepen collaborations with music labels, artists and introduce new, high-value benefits, our SVIP users surpassed the 20 million milestone, confirming the success of our strategy.

2) Our further enriched membership benefits fulfill the diverse needs of a broader user base, driving both SVIP sign-ups and retention.

a) For example, (i) the appointment of Ryan Ding (丁禹兮), Ju Jingyi (鞠婧祎), and Karry Wang (王俊凯) as QQ Music SVIP brand ambassadors, and Liu Yuning (刘宇宁) as Kugou Music's first-ever brand ambassador, paired with limited-edition physical and virtual gifts, boosted SVIP subscriptions. (ii) The prioritized SVIP ticket package for the annual gala of Melody Journey 2 and QQ Music Top Music Night 2026 also resulted in effective SVIP adoption. (iii) We also grew our Starlight card roster to include Korean artists like IVE and NMIXX, enriching the card pool and attracting fan participation.

b) At the same time, feature-related perks continue to drive SVIP acquisition and retention. Highlights include QQ Music's co-branded DTS:X and proprietary NAC sound formats, Kugou Music's scenario-specific DTS sound effects, and festive and co-branded skins with renowned artists like Eason Chan(陈奕迅), Silence Wang (汪苏泷), and Zhou Shen (周深). All of these added to a more immersive listening experience and deeper fan engagement.

To summarize, our commitment to product excellence, innovation and value creation has propelled resilient growth in a dynamic and competitive market environment. Looking ahead, we remain dedicated to this long-term, user-centric approach, staying at the forefront to capture new growth in a sustainable music ecosystem.

With that, I would like to turn the call over to Shirley, our CFO, for a deep dive into our financials.

Shirley:

Thank you, Ross, and greetings, everyone.

Let me now turn to our financial results. We closed 2025 with outstanding financial performance in both topline and bottom-line. We achieved robust growth in music subscriptions, advertising, offline performances and artist-related merchandise sales, and successfully implemented our ROI-focused approach for promotional expenses.

I'll first talk about Q4 2025 performance.

In Q4 2025, our total revenues grew 16% year-on-year to RMB8.6 billion, driven by strong growth in online music services. Music subscription revenues continued growth momentum, up by 13% year-on-year and reached RMB4.6 billion in Q4 2025. Revenues from music services other than music subscriptions were RMB2.5 billion, up by 41% year-on-year.

For music subscription revenues, as Ross discussed earlier, we have built a multi-pronged membership system that includes ad-supported membership, standard membership and SVIP to serve users with different needs and preferences. This system has been well-received and successfully led to increased user retention and growth in music subscription revenues. We continuously enrich privileges and benefits and provide limited-time event opportunities for our SVIP

members. In Q4, We appointed Liu Yuning (刘宇宁) as Kugou Music's first-ever brand ambassador, together with limited-edition physical and virtual gift sales. In addition, we offered priority ticketing for the annual Melody Journey 2 gala entrance tickets for our SVIP members.

Advertising revenue continued its strong growth trajectory both year-on-year and sequentially, primarily driven by the following: First, our ad-supported mode continued its robust growth, as a result of increased number of advertisers, higher entrance rates and higher eCPM. Double 11 shopping festival also contributed to the sequential revenue growth. Second, sponsorship advertising achieved strong growth. Offline performance and music festivals have broadened our user scenario and effectively attracted more brands, thereby driving growth in sponsorship advertising revenues.

Over the past few quarters, our offline performances and artist-related merchandise sales have made significant progress and delivered impressive results. In Q4, we hosted two grand shows in Taipei for G-DRAGON and provided artist-related merchandises sales during the show, which were exceptionally well-received. We also collaborated with Silence Wang (汪苏泷) to deliver a series of successful concerts, providing fans with distinctive experience. Meanwhile, we have established cooperations with strategic artists across music promotion, offline performances and artist-related merchandise to provide more immersive experiences for fans and help enrich privileges of SVIP membership

Revenues from social entertainment services and others were RMB 1.5 billion, down by 5% year-on-year.

Our gross margin in Q4 2025 was 44.7%, up by 1.1 percentage points year-on-year, which was mainly attributable to strong growth in music subscription and advertising revenues, alongside a lower revenue sharing ratio in social entertainment services. As we continued to invest in new businesses, such as offline performance and artist-related merchandise sales, revenue mix between music subscriptions and these new businesses may cause fluctuations in overall gross margin.

Moving on to operating expenses, they amounted to RMB1.2 billion, representing 14.4% of our total revenues in Q4 2025, compared with 15.7% in the same period of last year.

Selling and marketing expenses were RMB266 million, up by 7% year-on-year, primarily due to higher channel spending and content promotion expenses. We will keep monitoring market conditions and increase content promotion and channel spending as needed with ROI-focused financial discipline.

General and administrative expenses were RMB981 million, up by 6% year-on-year, primarily due to growth in employee-related expenses.

Our effective tax rate for Q4 2025 was 17.5%.

For Q4 2025, our net profit increased by 10% to RMB2.3 billion, and net profit attributable to equity holders of the Company increased by 13% to RMB2.2 billion. Non-IFRS net profit increased by 8% to RMB2.6 billion, and non-IFRS net profit attributable to equity holders of the Company increased by 9% to RMB2.5 billion.

Our diluted earnings per ADS this quarter was RMB1.41, up by 12% year-on–year, and non-IFRS diluted earnings per ADS was RMB1.60, up by 9% year-on-year.

As of December 31, 2025, our combined balance of cash, cash equivalents, term deposits and short-term investment was RMB38.0 billion, as compared to RMB36.1 billion as of September 30, 2025. This combined balance was affected by changes in the exchange rate of the RMB to USD at different balance sheet dates.

Next, I'll briefly discuss our performance for the full year of 2025.

Total revenues were RMB 32.9 billion, up by 16% year-over-year.

Revenues from online music services were RMB26.7 billion, up by 23% year-over-year. The increase was driven by strong growth in music subscription revenues supplemented by growth in revenues from offline performances, advertising services and artist-related merchandise. Our music subscription revenues were RMB17.7 billion, up by 16% year-over-year, primarily driven by continuous expansion of membership privileges, such as early access to live performances, artist-related merchandise, and a wide range of premium offerings.

Revenues from social entertainment services declined by 7% year-over-year.

Gross margin in 2025 was 44.2%, up by 1.9 percentage points year-over-year due to the reasons discussed earlier.

Total operating expenses for 2025 were RMB4.9 billion, up by 4% year-over-year, primarily due to growth in employee-related expenses, and higher content promotion expenses and channel spending.

In 2025, IFRS net profit increased by 60% to RMB11.4 billion, and net profit attributable to equity holders of the Company increased by 66% to RMB11.1billion. We have recognized a gain of RMB2.4 billion on deemed disposal of an associate in the first quarter of 2025. Non-IFRS net profit increased by 22% to RMB9.9 billion, and non-IFRS net profit attributable to equity holders of the Company increased by 25% to RMB9.6 billion.

In March 2026, we declared a cash dividend of US$0.12 per ordinary share, or US$0.24 per ADS, for the year ended December 31, 2025. The cash dividend of approximately US$368 million is expected to be paid in the second quarter of 2026.

Finally, I'll conclude with some remarks on the outlooks.

Looking ahead, we will continue our strategy to invest in content and technology. We will keep focusing on IP development and self-produced content, while advancing innovative integrated products with content and platform synergy, to build a richer and more dynamic music and entertainment ecosystem. We remain confident in the healthy growth of our businesses and are committed to delivering returns for our shareholders.

This concludes our prepared remarks. Operator, we are ready to open the call for questions.

Millicent:

Thanks, Shirley.

Millicent:

Thank you. Thank you everyone for joining us today. If you have any further questions, please feel free to contact our IR team. And this concludes today's call, and thank you so much again and look forward to speaking to you next quarter.